

Article | 24 July 2026

UNITED STATES

FOMC preview: Fed to stay on hold after June's hawkish shift

While the recent surge in oil prices has led markets to increase their expectations of a Federal Reserve rate hike, June's inflation data came in well below forecasts, and labour market figures were softer than anticipated. As a result, we expect the Fed to leave policy unchanged at its 28-29 July meeting



Lower-than-expected June inflation prints and softer jobs numbers than hoped point towards the Federal Reserve leaving policy unchanged next week

Cooler inflation to keep the hawks at bay

The June Federal Open Market Committee (FOMC) meeting dispelled any fears about a potential politicisation of the Federal Reserve via the appointment of Kevin Warsh as its new Chair. The FOMC statement, and Warsh's own commentary, emphasised a commitment to delivering price stability. The summary of economic projections, meanwhile, showed the FOMC split right down the middle on whether to raise interest rates this year.

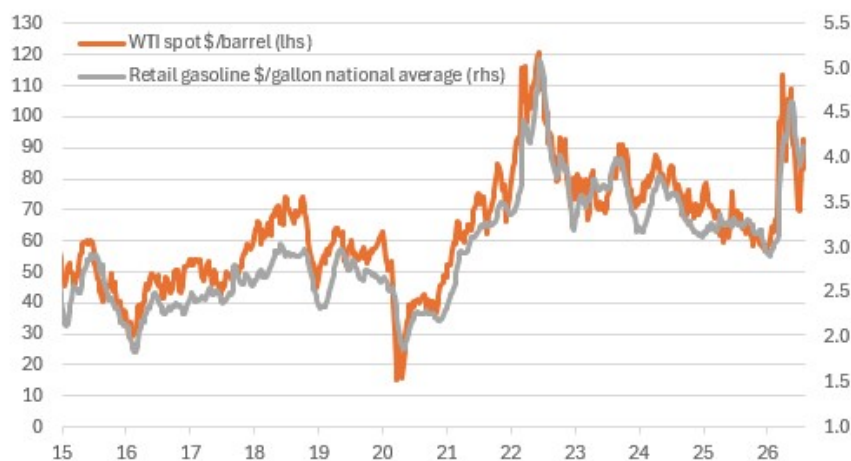
Markets swiftly moved from pricing an 80% probability of a 25bp hike later this year to fully discounting one-and-a-half 25bp hikes. The softer-than-anticipated June CPI, the benign PPI readings, and the Fed's own Beige Book – marked by a notably muted tone on pricing – collectively suggest that the urgency for action might not have been as strong as initially

assumed. Moreover, the June jobs report showed non-farm payrolls rising just 57,000 after the previous three months saw an average increase of 164,000. As such, we expect the Fed to leave monetary policy unchanged on Wednesday. While nine FOMC participants projected a rate hike by December, we suspect that most of them will be non-voters this year, given the tone and content of officials' remarks.

Policy direction down to oil

There is justifiable concern that the re-escalation of the Middle East conflict and the rebound in oil prices will keep inflation higher for longer. The spike in oil prices was responsible for a 20bp jump in expectations of cumulative Fed rate hikes by the first quarter of 2027 over the past seven days. Our counterpoint, though, is that gasoline prices didn't fall in line with oil price declines, as the chart below shows. Admittedly, we saw the oil price fall below \$70/bbl for only a brief period. But ordinarily, this would be consistent with gasoline prices dropping \$3.50/gallon. Prices got nowhere near that.

WTI oil price versus US retail gasoline prices



Source: Macrobond, ING

Instead, the current oil price is historically consistent with gasoline prices of just above \$4/gallon, which is where we currently stand. With natural gas prices remaining little changed in the US given ample domestic supply, the energy situation doesn't guarantee that we'll see inflation push higher again.

A de-escalation of the conflict and a resumption of flows would likely mean oil prices drop sharply and rate hike expectations start to unwind. After all, the mid-term US elections are less than four months away. US President Donald Trump could quickly pivot to a position that eases some of the financial pain for the electorate. The alternative is that we see a deterioration in conditions should Houthi rebels choke off Red Sea supply to Asia from Saudi Arabia. A further tightening of global supply conditions would mean oil prices could rise

towards \$120/bbl. That would lead to sharply higher headline inflation. The Fed would likely respond with higher interest rates.

For now, we're leaning in the direction of a de-escalation, but it needs to come quickly. We believe underlying price pressures are easing thanks to cooling housing costs, weaker wage growth and tariff refunds improving corporate cash flow. But we'll need to see a return to dialogue in the Middle East and a de-escalation that prompts a reversal in energy prices in order to shift market pricing.

Precautionary dollar buying

Since Warsh's debut press conference last month, the dollar is generally stronger across the board. In the G10 space, the low-yielding yen, Swiss franc and Swedish krona have all fallen around 2%, while in EM, some popular CEE trades are off 3-4%. The recent surge in oil prices has clearly been playing a role, but probably more through the prism of what higher energy prices mean for Fed policy.

Given the absence of forward guidance and lingering uncertainty around the Fed's reaction function, investors appear inclined to stay long dollars heading into this week's meeting. No one knows whether the Fed will be looking at 30-year Treasury yields hitting 5.20% again and concluding that a pre-emptive hike might be useful after all.

US short-dated rates drive the dollar higher



Source: Refinitiv, ING

We suspect that a brief FOMC statement and a press conference that once again avoids offering forward guidance will do little to challenge the market's increasingly firm expectations for a 25bp hike in September. The Fed simply will not have enough information at this stage to push back against such thinking.

Until the US and Iran can agree a renewed ceasefire and energy prices come lower, we expect the dollar to stay strong. EUR/USD can retest the lows 1.13s, while USD/JPY can grind towards

165. Higher global interest rates will keep the Swiss franc under pressure. If the long end of the bond market starts to sell off more aggressively, carry trade positions in high-yield emerging currencies will come under pressure.

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Article | 23 July 2026

Lagarde's comments at the press conference clearly point to September rate hike

Our take-away from the press conference: the European Central Bank has again turned more hawkish, suggesting that a September rate hike is almost a done deal



At today's press conference, ECB President Lagarde went as far as possible without pre-committing to a rate hike in September

ECB president Christine Lagarde's comments at the press conference were a good illustration of how close a central bank can get to pre-committing without actually pre-committing. It's obvious that the recent roller-coaster ride of energy prices has made the ECB both more hawkish but also cautious. Where there seemed to be very little need for an additional rate hike three weeks ago, with oil prices below \$70/bbl, current oil prices of close to \$100/bbl will make it hard for the ECB not to hike in September.

Most important comments at press conference

There were two important comments by Christine Lagarde this afternoon, signalling future policy moves. The first was the reference that upside and downside risks to the inflation and growth outlook were no longer "more balanced". Instead, Lagarde stressed the upside risks to

inflation and the downside risks to growth. A clear hawkish shift. The second was the remark that some ECB members had favoured a rate hike already at today's meeting, even though the decision to keep rates on hold was taken unanimously. On the other hand, and a bit more dovish, Lagarde remarked that there were no second-round effects from higher headline inflation, yet.

The well-known comments about how many data points will be released until the next meeting no longer brings us sleepless nights. In fact, there will always be new data points. This is simply part of conducting monetary policy. What this remark probably means is that there was not a sufficient majority today in favour of hiking rates, but unless there are really no additional inflationary signs over the next two months, a September rate hike is almost a done deal.

More for the feuilleton section, Lagarde was also asked about her professional future. A discussion she herself had fuelled again recently by suggesting that she might enter the French presidential election race, passively or actively. Lagarde's response that she didn't want to be boxed into anything, however, did not fully meet expectations. In any case, we remain convinced that even if Lagarde was to leave the ECB before her term in office officially expires in October 2027, the impact on the ECB's monetary policy should be very limited. In fact, Lagarde is not perceived by markets as the ECB's thought leader, determining policy decisions on her own, but rather the moderator, steering the discussion and policy decisions.

The question is what could stop the ECB from hiking in September, not what it needs to hike

Looking ahead, the latest increase in energy prices has actually pushed the ECB closer to its more severe macro scenarios, calling for another rate hike – at least when following the ECB's own logic and reaction function, presented at the June meeting. Unless oil prices start dropping significantly over the next weeks, the ECB's own macro projections in September will call for another rate hike, loud and clear. Consequently, we are back in a situation in which the question is what could stop the ECB from hiking in September, rather than what would move the ECB to hike.

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Article | 23 July 2026

FX

Sterling's rally is not built to last

Sterling's rally has been driven more by positioning, carry and potentially some M&A flows than by a lasting improvement in UK fundamentals. With UK short-dated rates likely to drift lower and fiscal risks set to return ahead of the autumn, we expect sterling to hand back recent gains. Our central view remains for EUR/GBP to rise towards 0.88 by year-end



We expect sterling's strength to reverse as we see positioning, carry and M&A flows driving the rally rather than fundamentals

Not driven by a UK re-rating

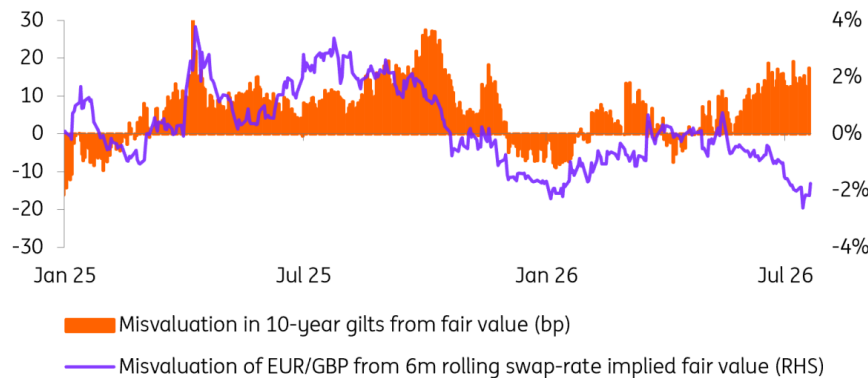
Sterling has had a pretty good summer so far. Even though it is off recent highs, sterling has still managed to rally about 2% against the euro over the last month and has generally performed well against a strong dollar.

Normally, a sustained rally in sterling would be driven by some good news – be it on growth, relative rate differentials, fiscal improvements or just capital inflows. It's hard to pick out anything concrete here, but justifying sterling's rally on a perceived fiscal improvement – for example, Andy Burnham's choice of chancellor – looks wide of the mark.

Below we show a relationship between the UK risk premium embedded in the gilt market versus that embedded in the FX market. Through 2025, both 10yr gilt yields and EUR/GBP

traded above levels normally associated with common financial variables. While that risk premium has remained in gilts for most of 2026, it has evaporated in sterling. As a result, this sterling rally is not a classic re-rating story.

Risk premium remains in gilts, not sterling



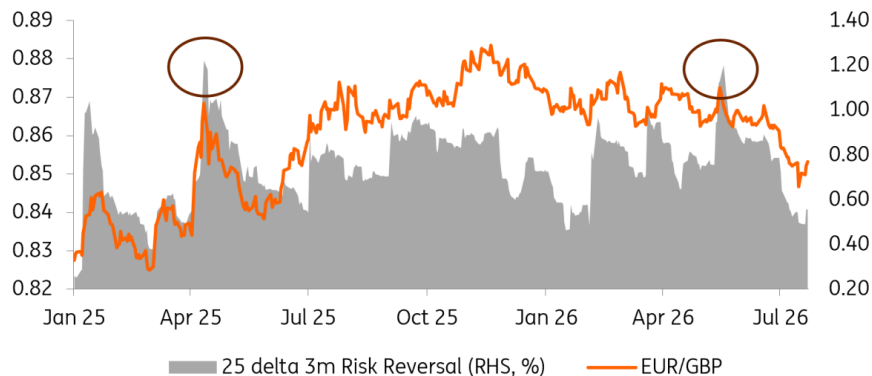
Source: ING, Refinitiv

Positioning explains more than fundamentals

A better explanation of the sterling rally – one which appeals to us much more – is the combination of a short squeeze and some one-off flows. On the former, it looked like speculators had turned exceptionally bearish on sterling ahead of UK local elections in early May on the (correct) assumption that poor results would spell the end of Prime Minister Keir Starmer's premiership. That bearish sterling sentiment can best be seen in the FX options market, where the risk reversal – the cost of buying a EUR/GBP call over an equivalent put option – rose to the most expensive levels seen since April 2025. That was when global financial markets were in turmoil after President Donald Trump's 'Liberation Day' tariffs.

Sterling failed to sell off in the immediate aftermath of those election results, and we suspect a combination of sterling's relative high risk-adjusted yields in quiet summer markets and potentially some large one-off sterling buying flows caught the market exceptionally short. In terms of those flows, there has been speculation that M&A activity could be in play.

EUR/GBP versus three month risk reversal



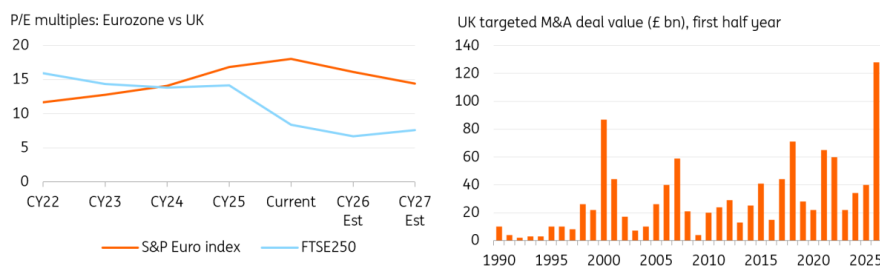
Source: Refinitiv, ING

The M&A story is probably being overstated

Connecting M&A activity with currency moves is typically a thankless task – particularly when this cross-border activity can be FX-hedged, can be spread over many months and can be locally funded. Yet the available data does suggest there has been a huge pick-up in UK targeted M&A flows this year on the view that UK corporates are cheap.

Current price earnings multiples for the FTSE 250 trade at a steep discount to the S&P Euro index (around 180 names) and announced UK inbound inflows are running at record highs. Announced flows into the UK dwarf anything seen in continental Europe, with UK deals focusing on Financials (Schroders, Beazley, Allfunds Group), Consumer Staples (Food assets/Unilever) and Industrials (Intertek, Rotork).

UK versus eurozone P/E multiples and UK M&A inflows

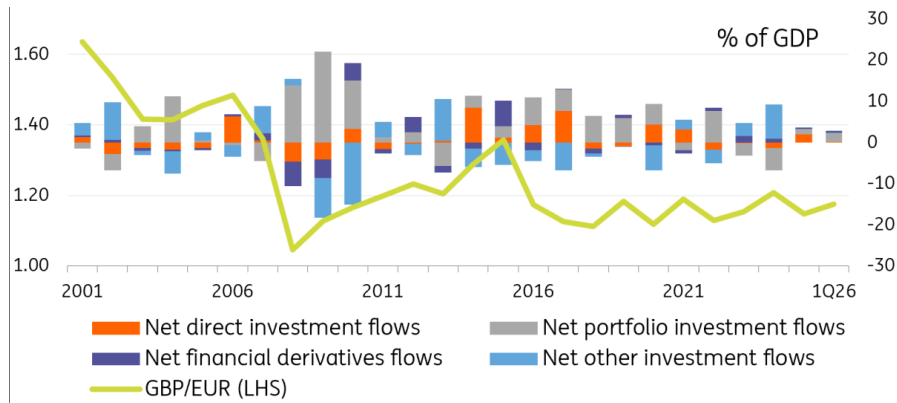


Source: LSEG, ING calculations

Pending and completed deals for UK companies this year add up to a staggering £220bn on some measures. But what we would say is that, over the last 25 years, net portfolio flows have on average been nearly five times larger than net direct investment flows. This can be seen below when looking at financial account flows as a % of GDP.

While M&A flows may occasionally grab the headlines in currency markets, they rarely drive sustained moves in currencies.

UK net investment and portfolio flows versus GBP/EUR



Source: UK Office for National Statistics, Refinitiv

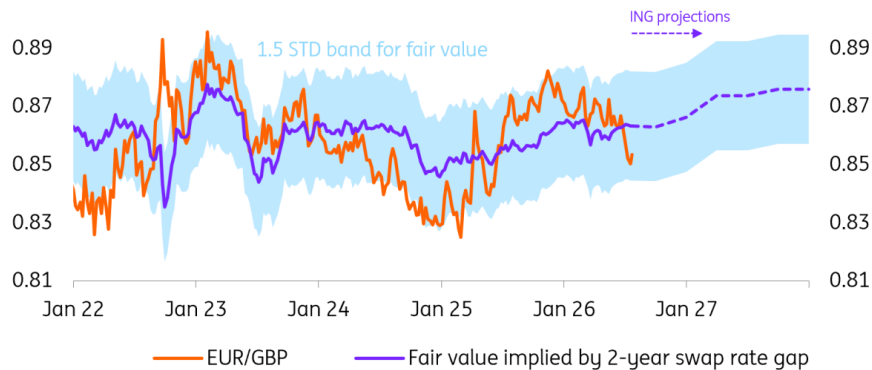
The real driver ahead is the Bank of England

What typically explains currencies is relative growth trends and what they mean for the monetary and fiscal mix. Coming back to basics, EUR/GBP has lacked a sustained trend since 2022, but interest rate implied fair value has consistently acted as an anchor around 0.86. The fair-value estimate is derived from a 10-year weekly relationship between EUR/GBP and the EUR:GBP 2Y swap spread, providing a stable benchmark against which to assess valuation. As shown in the chart below, periods of substantial over- and undervaluation have typically reversed over time.

The pair currently sits close to the lower edge of the 1.5-standard-deviation valuation band, suggesting limited downside potential barring a substantial swing in short-term differentials in favour of the pound. On the contrary, our swap rate forecasts imply a gradual rise in EUR/GBP fair value over the coming years. That is based on the house view that UK inflation looks, barring a much larger energy surge, unlikely to challenge the 4% area – the 4% threshold seen as the trigger for a Bank of England hike. An unchanged UK policy rate and one further European Central Bank hike to 2.50% is our house call over the next six to nine months.

Our call on rate spreads suggests EUR/GBP should trade higher from here. But what about the fiscal story? Could there be any surprises there?

Short-term rate differential is the medium-term anchor for EUR/GBP



Source: ING, Refinitiv

Tight fiscal arithmetic becomes harder to ignore

Like much of Europe, there are plenty of reasons to be downbeat about the UK's public finances. Spending pressures are growing – from defence to health and social care. Debt interest costs are high and rising, not helped by Britain's large stock of index-linked bonds and increasing reliance on foreign investors (particularly hedge funds). The tax burden may be the highest in decades, but spending has risen more significantly as a share of GDP since 2019. And tax on wages – income tax and social security – is among the lowest in Europe as a share of average labour costs.

That said, the UK is also a rare example of a country undergoing some meaningful fiscal consolidation. Since 2021, the tax thresholds have been frozen in cash terms. And subsequent waves of inflation have dragged more and more people into higher tax brackets, increasing tax revenues as a share of GDP. This fiscal drag is planned to continue over the remainder of this decade. And it's a key reason why gilt issuance is falling significantly – from £303bn in FY2025 to £246bn in the current fiscal year.

In short, there's a more positive near-term public finance story even if longer-term, it's hard to see how borrowing doesn't increase over and above current budget plans.

Over recent weeks, investors had become more relaxed about Burnham's appointment, following his commitment to stick to the existing fiscal rules. In theory, that precludes a stimulus package this autumn that would either materially increase gilt issuance or change the calculus for the BoE. But Burnham's recent openness to bigger changes – including lifting the tax-free allowance and greater funding for social care – means a bolder budget can't be ruled out. Investors will be particularly sensitive to any headlines on tweaks to the fiscal rules in the run-up to Burnham's first budget this October or November.

Sterling to hand back gains

Sterling's summer rally has come as a surprise to most, but it looks to be built on weak foundations. Into the autumn, we expect UK short-dated rates will be coming lower and the UK's fiscal position will again be under scrutiny. That means EUR/GBP doesn't need to spend too long down at these levels near 0.85 and we remain comfortable with our call for a move to 0.88 by year-end and a push to 0.90 in 2027. And based on our view that the Fed does not tighten in this cycle and the dollar softens, GBP/USD should continue to trace out a 1.32-1.36 range.

ING's forecasts for GBP

	2026		2027			
	Q3	Q4	Q1	Q2	Q3	Q4
EUR/GBP	0.87	0.88	0.89	0.90	0.90	0.90
GBP/USD	1.34	1.34	1.33	1.33	1.34	1.36

Source: ING

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Article | 22 July 2026

TRADE UNITED STATES

A new round of tariff woes: disturbing but not disruptive (for now)

Just when it seemed the summer break was within reach, a new round of trade tensions is already looming. August is increasingly shaping up to be another summer month dominated by trade disputes and tariff headlines



The last 12 months have shown that US tariff announcements tend to be far more dramatic than their eventual implementation.

Trade tensions are back. While markets have been focusing on the war in the Middle East and the renewed rise in energy prices, the last two weeks have again been very busy on trade and tariffs, even by the standards of last year. Here is the latest state of play:

- Canada gets hit hardest. On 20 July, US President Donald Trump signed three proclamations imposing 50% tariffs on Canadian goods under Section 338, citing discriminatory treatment of US exports, effective 19 August, with carve-outs for energy, potash, critical minerals, fish, and goods already under Section 232. Section 338 (which dates from the Smoot-Hawley era in the 1930s) is a new legal frontier and, so far, has been untested in court.
- The new tariffs on Canadian imports are another sign that the North American trade

pact is now formally on its way out. Trump's decision not to extend the United States-Mexico-Canada Agreement on 1 July triggered a 10-year wind-down process. That mechanism is doing exactly what it was designed to do: create negotiating leverage. This week, US and Mexican officials launched a third round of bilateral talks in Mexico City, focusing on technical issues related to steel, aluminium, automobiles and labour standards. For now, it appears that Washington is seeking to negotiate a bilateral successor agreement with Mexico while increasingly treating Canada as an adversary.

- There are also clear efforts to respond to the Supreme Court's February ruling that struck down tariffs imposed under the International Emergency Economic Powers Act (IEEPA). The administration's emergency fix was to invoke Section 122 of the Trade Act of 1974: a temporary balance-of-payments surcharge that Congress capped at 15% and limited to 150 days. As a result, it will automatically expire at 12:01 a.m. on 24 July, exactly 150 days after it came into effect.
- That was always scaffolding, never the building. The permanent replacement began to take shape on 12 March, when the US Trade Representative launched Section 301 investigations into forced labour as part of an explicit strategy to rebuild the tariffs struck down by the Supreme Court. The Section 301 action covers roughly 60 economies – about 99% of US import value – in two tiers: 10% tariffs on 14 economies including the EU, UK, Canada and Mexico, and 12.5% on 46 others, including China, Vietnam, India and Japan. Unlike Section 122, Section 301 has no statutory rate cap and no built-in expiry date. These tariff rates are probably low enough for most US trading partners not to oppose them. The European Commission, for example, has already signalled that these duties are unjustified but that it would accept them as long as they stay under the 15% Turnberry cap. Pragmatism dressed as principle, or principle dressed as pragmatism?
- There has been trade policy as theatre, with NATO as the stage. Trade policy has also become political theatre, with NATO serving as the stage. At the NATO summit on 8 July, Trump said he wanted to “cut off all trade with Spain, including visits”, describing the country as “a terrible partner in NATO” that neither contributes nor pays its fair share. Why does this mainly fall under the label ‘theatre’? Well first, trade policy is an exclusive EU competence and there is no legal instrument for tariffing one member state out of the single market. Anything targeting “Spanish” goods would hit EU goods and collide head-on with the Turnberry framework the US government itself signed. Second, the arithmetic argues against it: the US runs a goods surplus with Spain (roughly \$26 billion in exports against \$21 billion in imports), so an embargo would hurt American exporters more than Spanish ones. And third, the threat already served its purpose: within a day, Trump claimed Spain had “come back all the way” and agreed to pay more after the embargo threat. Whether Madrid actually conceded anything is disputed, but the pattern is the recognisable one: maximal threat, declared victory, quiet de-escalation.

New tariff woes: disturbing but not disruptive

All of these developments suggest that trade policy is once again moving to the forefront of market attention. However, maybe even more so than last year, the headlines are proving more disruptive than the reality. Admittedly, this latest bout of tariff brinkmanship comes at a time when the global economy is in a weaker position than it was on Liberation Day, not least because of higher energy prices. At the same time, however, the last 12 months have shown that US tariff announcements tend to be far more dramatic than their eventual implementation. The world has also adjusted to at least some degree of higher trade barriers. As a result, while a fresh round of tariff threats may disrupt the summer lull, it's unlikely to have the same disruptive power as it did last year. For Europe, at least, the drought and exceptionally low water levels in key waterways may ultimately prove more disruptive than the latest tariff woes.

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Article | 20 July 2026

COMMODITIES, FOOD & AGRI

El Niño casts a shadow over agri markets, but global food fears may be overblown

Forecasts point to a strong El Niño event at the end of 2026, raising fears over food supplies and prices. While we believe these fears are overstated at the global level, El Niño poses a more significant regional risk to agricultural output, particularly in Asia-Pacific, meaning food and agribusinesses should prepare for potential disruptions



A farmer in Manila, the Philippines. The impact of El Niño on global agricultural output is fairly limited, but Asia-Pacific is more exposed

El Niño at a glance

- El Niño is only one factor shaping commodity prices
- APAC among the most exposed regions
- Asian aquaculture is already feeling the impact
- The Indian monsoon season has got off to a slow start
- Forest fires, river water levels and rain onset data provide early warning signals
- El Niño can cause large production swings at the national level

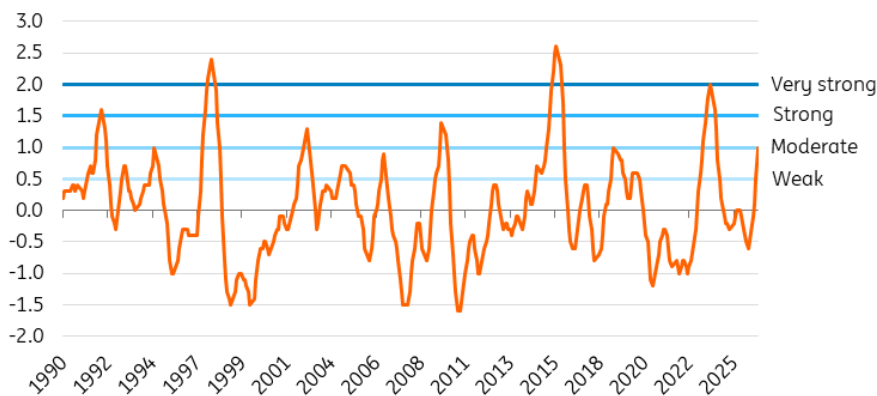
- At the company level, we'll see both short-term pain and short-term gain

Hola, El Niño! What happens when Hormuz and El Niño meet?

Global agricultural markets are still dealing with the impact of the disruptions to energy and fertiliser flows through the Strait of Hormuz. And as [recent developments highlight](#), this risk is still very present. However, a new risk is building for agri markets, which has the potential to ripple through to the broader food and agricultural sector, and ultimately the global economy, in the form of food inflation. This risk is El Niño, which is now upon us, and forecasts are growing for a very strong event by year-end.

2026/27 El Niño has been gaining strength

Oceanic Niño Index with threshold levels, three-month running average up until June 2026

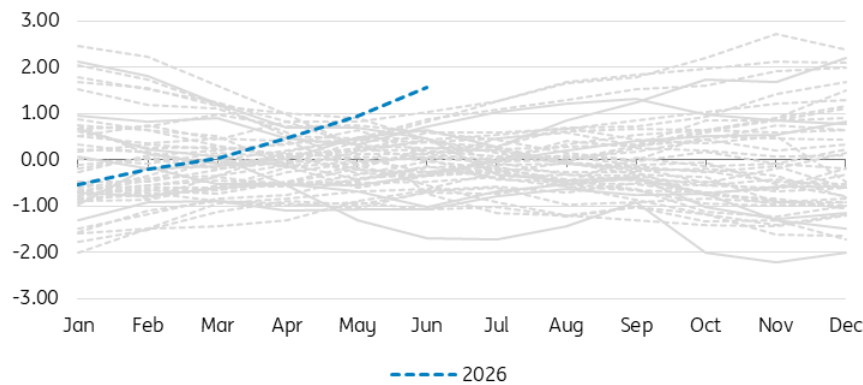


Source: NOAA, ING Research

Data from the National Oceanic and Atmospheric Administration, a leading US agency, shows that sea surface temperatures in a certain part of the Pacific Ocean (which provides a good indication of El Niño conditions) continue to rise, with an anomaly of +1.5 degrees Celsius in June, and this is expected to rise further through year-end. This is the highest reading for June going as far back as 1982. NOAA forecasts that there is a 97% chance that these conditions will continue through early 2027, and an 81% chance of a very strong El Niño during October to December of this year, placing it among the strongest on record since the 1950s.

Sea surface temperatures in El Niño region in June above historical levels

Monthly sea surface temperature anomalies in the El Niño 3.4 region, 1982–2026



Source: NOAA, ING Research

A realistic view: the impact of El Niño on global agricultural output is fairly limited

This all sounds very alarming, and hardly a day goes by when you don't read about impending declines in agricultural output and higher spikes in food prices. Fearmongering generates clicks, and, of course, El Niño can have a significant impact on certain regions and crops, but it can also be beneficial to other regions and crops, [including soybeans](#). Clearly, the big caveat is that no two El Niño episodes are the same, so there is always a higher degree of uncertainty and risk.

However, if we look at agricultural output for some key crops through moderate to very strong El Niño events in the past, the impact on global agricultural output has been [fairly limited](#). Admittedly, the 2015/16 El Niño event did have a broad-based impact on key agricultural commodity output. But again, on the whole, not alarming.

Technology has also made El Niño less disruptive to agricultural output than it was 30–40 years ago. Wider irrigation coverage helps reduce water stress for crops. In 1980, farmers had equipped around 11% of cultivated area for irrigation; by 2023, that share had doubled to 22%. They also used irrigation more intensively: the share of equipped area actually irrigated rose from around 65% in 1980 to almost 83% in 2023.

Seed technology has advanced as well, improving drought tolerance in some crops. Satellite technology has also strengthened crop monitoring, giving producers and buyers better visibility on emerging stress.

Finally, let's not forget that Brazil has become an agri powerhouse over the last 20–30 years,

and El Niño can be beneficial for many crops in South America. However, the risk around this comes down to concerns over fertiliser availability, particularly given the re-escalation of tension in the Middle East.

Looking at global agri output changes for some key crops during El Niño periods does not scream crop shortages. That said, the effects on some perennial crops, such as palm oil and sugar cane, can become more apparent in subsequent years.

Upward and downward shifts in global crop output during El Niño periods

Output change (YoY %) for key agri commodities during last five moderate to very strong occurrences

	1997/98 Very strong	2002/03 Moderate	2009/10 Moderate	2015/16 Very strong	2023/24 Strong
Corn	-3%	0%	3%	-4%	6%
Wheat	5%	-2%	0%	1%	0%
Soybeans	20%	6%	23%	-2%	5%
Rice	2%	-5%	-2%	-1%	1%
Palm oil	-4%	9%	4%	-5%	-1%
Sugar	1%	11%	7%	-7%	0%
Coffee	-6%	14%	-5%	-1%	3%
Cocoa	-1%	10%	1%	-6%	-13%

Source: USDA, ING Research

El Niño is only one of many factors shaping commodity prices

The story does not end with supply. At the end of the day, consumers and governments care about food prices. Yet a look at the UN FAO Food Price Index across past El Niño episodes does not point to a clear pattern of rising prices. In fact, during several of these events, the index actually declined.

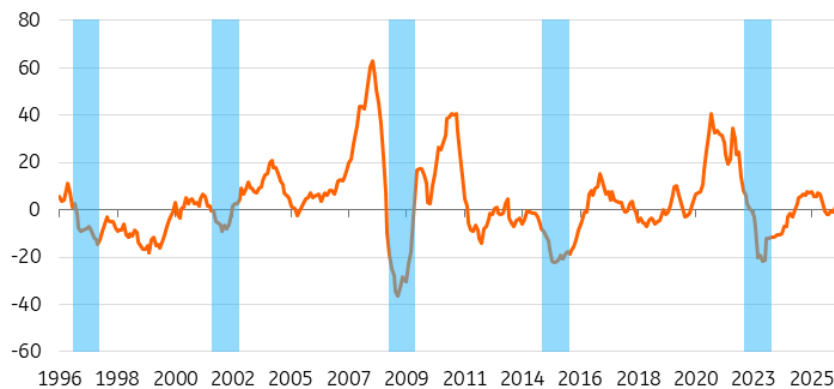
The biggest increase during recent El Niño periods occurred during 2009 and 2010. However, this move was part of a broader recovery in commodity prices with Chinese stimulus and the global rebound following the financial crisis. It would be unfair to attribute this rise in prices to El Niño. Similarly, recent significant spikes seen in the FAO food index have generally been driven [by factors other than El Niño](#), including demand shocks and tight inventories. So, while it is prudent to be alert to the risks relating to supply and prices, particularly with forecasts for a very strong El Niño this year, we would caution against assuming that the global outlook is bleak.

Adding another layer of reassurance to markets will be the fact that grain inventories are very comfortable, providing a buffer against potential supply shocks. However, in a scenario where

inventories are drawn on heavily, markets will be left relatively tighter post-El Niño.

Recent spikes in food commodity prices outside El Niño events

Year-on-year change in FAO food price index with moderate to strong El Niño periods highlighted



Source: United Nations FAO, ING Research

A deep dive into Asia Pacific: one of the most exposed regions

While global food and agricultural production should remain broadly resilient, there will of course be regional variances and localised impacts. The [Asia-Pacific](#) region has historically borne more of the brunt of El Niño, with parts of South and Southeast Asia, as well as northeastern Australia, experiencing drier than usual weather conditions. There is a significant probability that weather disruptions will intensify during the second half of 2026, compounding what has already been one of the hottest periods on record for many countries in the region. That combination poses risks for various crops, including Australian wheat, Indonesian and Malaysian palm oil, Thai and Indian sugar production, as well as rice output across parts of the region.

Asian aquaculture is already feeling the impact...

The potential impact on crops is receiving most of the attention. But one industry that's [heavily concentrated in Asia](#) and is already exposed is aquaculture. Catch restrictions on Peruvian anchovy due to El Niño have led to [a more than 75%](#) year-on-year increase in fishmeal prices, also because Peru is a leading producer of this essential ingredient for fish and shrimp feed. For farmers and aquaculture companies across Asia, that's concerning given that feed is their largest cost component (typically 55% to 65% of total farm expenses).

...meanwhile the Indian monsoon season has got off to a slow start

The Indian monsoon offers another important warning signal for possible El Niño weather patterns. Running from June to September, the season has got off to a slow start, and the Indian government has forecast rainfall at just 90% of the long-term average for 1971–2000. Although rainfall has since moved closer to normal levels, it still stands 24% below normal so far this season. This gap could narrow over the rest of the monsoon, but alarm bells are already ringing. Some agri markets could face additional pressure if concerns over domestic food availability push the Indian government to impose export restrictions. The government has done this before and earlier this year banned sugar exports at least until the end of September 2026.

Forest fires, river water levels and rain onset data provide early warning signals

While other supply chains across APAC don't have the same exposure yet, fish feed prices and the Indian monsoon act as the proverbial canary in the coalmine because they offer an early indication of what may follow. So, what other signals might provide a glimpse of what's to come? At first sight, real-time data on forest fires in Indonesia, water levels in the Mekong River, and the latest forecasts for the onset of the northern Australian wet season appear unrelated. But taken together, these indicators offer an early warning of where El Niño could begin to disrupt agricultural supply chains across the Asia-Pacific region next.

El Niño can cause large production swings at the national level

Output data for key agricultural commodities across APAC confirms that the region tends to be more vulnerable to El Niño, particularly during strong episodes. Looking at the region in aggregate masks strong crop declines at the country and crop level. For example, Australian wheat output often comes under pressure during El Niño periods, even during weaker episodes. And the declines can be very sharp. In 2002/03, Australian wheat output fell by 58% YoY, while during the most recent El Niño in 2023/24, production declined by 36% YoY.

Very strong El Niño in 2015/16 coincided with a drop in crop production in APAC

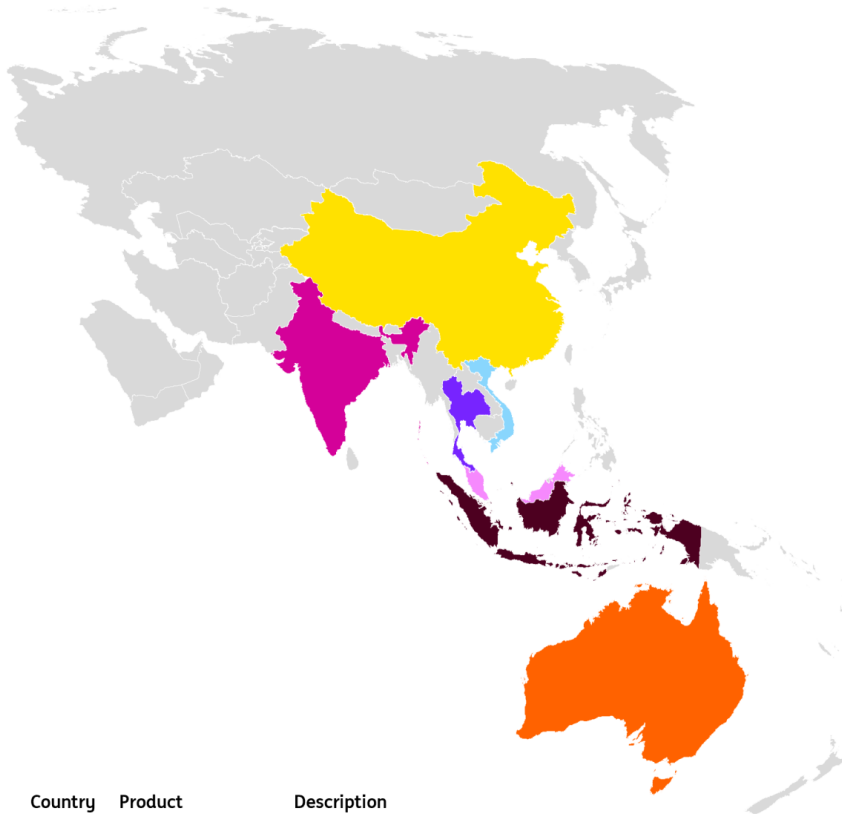
Output change (YoY %) for key agri commodities in the Asia Pacific region during the last five moderate to strong occurrences

	1997/98 Very strong	2002/03 Moderate	2009/10 Moderate	2015/16 Very strong	2023/24 Strong
Wheat	8%	-7%	5%	-3%	-2%
Corn	-15%	4%	-2%	5%	3%
Rice	2%	-6%	-2%	-1%	1%
Sugar	-3%	14%	4%	-9%	-13%
Palm oil	-5%	10%	4%	-6%	-1%

Source: USDA, ING Research

Meanwhile, APAC sugar production consistently sees declines during strong El Niño events, with declines led by India and Thailand. Moreover, the impact on supply is not confined to the El Niño period itself. Because sugar cane is a perennial crop, production can remain under pressure in the following year as well.

Rice, sugar, wheat, aquaculture and beef all exposed in APAC



Country	Product	Description
Australia	Wheat, sugar, beef, dairy	Prolonged drought can reduce crop yields and pasture availability. Also leading to increasing feed costs, lower milk output and pressure on livestock herds.
China	Corn, sugar	Overall impact more moderate, main concern around corn due to larger likelihood of summer droughts.
India	Rice, wheat, sugarcane	Rainfall deficits can pressure yields. Lower crop output could turn India into a net importer of certain crops.
Indonesia	Palm oil, rice	Drier conditions may affect yields, reduce availability of water for irrigation and increase wildfire risk, particularly in plantation and forest areas.
Malaysia	Palm oil	Drier weather can reduce palm oil yields and raise plantation fire risk.
Thailand	Rice, sugar, aquaculture	Lower water availability can affect crop production and freshwater aquaculture.
Vietnam	Rice, aquaculture	Increased risk of drought, in the Mekong River delta drought and saltwater intrusion could affect crops like rice and aquaculture.

The corporate response: how to prepare for yet another risk

Agri & food companies have had to manage their fair share of risks over the past few years, and climate-related risks are a recurring theme. With another major event on the horizon and knowing that APAC is more exposed, it makes sense for companies that either produce in or source from the region to go over their prep work again.

That includes at least three steps: risk assessment, risk reduction and preparation for any rapid response measures.

1. Closer monitoring of developments, combined with company-specific data, enables decision makers to identify whether any material impact is expected. This goes beyond the procurement team because other areas like logistics can also be affected. Weather disruptions can hinder logistics within the region as well as major trade routes to the US, where we already see some restriction of [capacity in the Panama Canal](#).
2. If there is a material impact, companies can take additional measures to reduce risks. This could be through physical measures, including improved irrigation, additional water or feed storage and measures to reduce risks of forest fires. Taking financial measures can also help traders manage risk, for example by focusing on their hedging strategies, maintaining adequate liquidity, and protecting profitability.
3. Another way to reduce risk is by increasing operational flexibility. Capacity utilisation in food processing could be affected when farmers make different planting decisions or when harvests are lower or delayed. More substitution of certain inputs might be required. Coming back to our fishmeal example, the jump in fishmeal and fish oil prices means that feed companies have an incentive to use alternatives, including soymeal and algae in their feed mix. The companies that succeed in doing so will have a cost advantage.
4. Physical or regulatory disruptions could occur later this year. Export restrictions from individual Asian countries on certain crops to shield domestic supply are one example.

Designing a dashboard to better assess risks

So, if you're a decision maker in the food industry and want to keep a close eye on how the impact of El Niño develops in APAC, what would your 'risk monitoring dashboard' look like? In essence, it will likely include data on commodity prices, crop conditions (including [AMIS crop monitor](#), [Abares crop report](#)) and weather patterns (like Indian monsoon [rainfall](#)). We argue that adding real-time data on physical indicators can further improve visibility on what happens on the ground.

Examples of such data are:

- Sea surface temperatures in [El Niño area](#)
- Anchovy landings in [Peruvian ports](#)
- Water reservoir levels (for example in India, [Thailand](#))
- Water levels in [the Mekong river at Kratie](#) in Cambodia
- Forest fires [in Indonesia](#)

Many of the larger food & agri companies will have a certain kind of monitoring in place because of previous extreme weather events or other supply disruptions, especially if they're operating more upstream. But for others, including companies operating more downstream in the food & agri value chain, the 2026/27 El Niño could be the trigger to invest more time and resources to better prepare for any hit to the supply chain. Even if the impact at a country or

commodity level turns out to be less severe than feared, good planning now will help with the next weather-related supply shock.

Short-term pain and short-term gain at the company level

We have argued that El Niño tends to have a limited impact on global agricultural supplies and food prices. That said, its effects can be significant at the regional level, with Asia-Pacific among the most vulnerable regions. The current situation highlights the wide range of risks companies must manage, from geopolitics to climate-related disruptions. While some businesses are likely to face short-term challenges, others may benefit from short-term opportunities. For companies in the APAC region, the ability to adapt will be crucial in the event that conditions deteriorate. Meanwhile, food and agriculture businesses elsewhere, particularly in the Northern Hemisphere, could benefit in the near term if production in the most affected regions falls short of expectations.

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Article | 20 July 2026

UNITED KINGDOM

How Andy Burnham could surprise UK markets

Britain's new prime minister's bold ambition is constrained by tight fiscal rules and a commitment not to raise major taxes. An understated Autumn Budget looks like the growing consensus. But don't rule out bigger plans on anything from capital investment to the fiscal rules – or, crucially, a snap general election



The prospect of Andy Burnham becoming prime minister was enough to unsettle UK markets just a few months ago. His arrival in Downing Street, by contrast, has triggered little reaction

Britain has a new prime minister

Two months ago, UK markets recoiled at the prospect of new Labour leader Andy Burnham becoming prime minister. Today, his arrival in Downing Street has been met with little more than a shrug.

Risk premium in the bond markets looks contained. Most investors I speak to don't expect him to rock the boat this year, even if there are concerns about the fiscal trajectory further ahead.

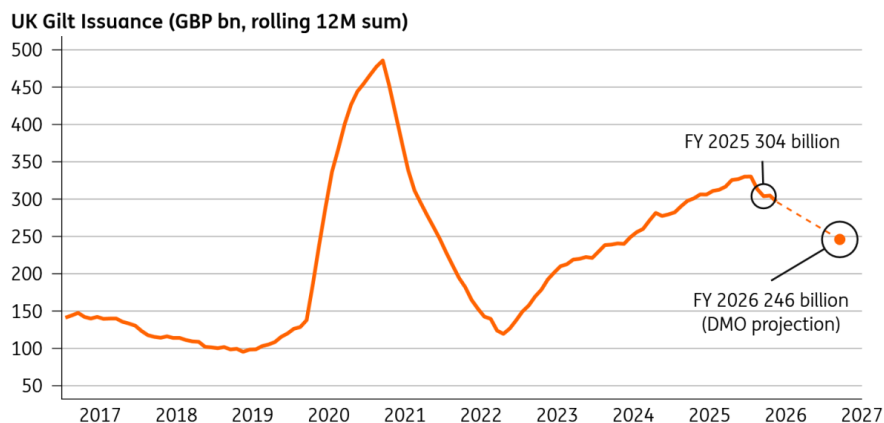
That thinking is understandable. Burnham's bold ambition towards everything from social housing investment to nationalisation is constrained by a commitment to stick to the fiscal rules and not raise the biggest taxes.

That tentatively points towards a relatively modest Autumn Budget. Expect a focus on policies that are as eye-catching as they are cheap and simple to implement.

Talk of plans to cut bus fares and lower taxes for hospitality is a case in point. As are proposals to shift a further share of policy costs from electricity bills onto general taxation, at a cost running into the low billions. That would conveniently coincide with a likely fall in the regulated energy price cap in October and would help push headline inflation lower at a time of heightened Bank of England sensitivity to price pressures.

Admittedly, those demands will run up against some thorny, unresolved issues from the Starmer era. Like the steep real-terms cuts to unprotected government departments planned for 2029, which will likely cost around £6bn in that year to reverse. Or the £4.7bn left unfunded in the recently announced Defence Investment Plan.

UK borrowing is set to fall sharply this year



Source: Macrobond, Debt Management Office, ING

But the truth is the numbers here are not huge – and can be accommodated in the fiscal rules. Burnham can thank outgoing Chancellor Rachel Reeves, whose long-planned changes to the fiscal framework are set to create roughly £16bn of additional borrowing room this autumn against the current budget rule. That should help offset some of the deterioration in the Office for Budget Responsibility's forecasts stemming from higher borrowing costs and lower migration assumptions.

Tax increases wouldn't necessarily need to be dramatic, either. Reeves considered a smorgasbord of tax hikes last autumn, many of which went unused – not least because they typically raise little cash and present major trade-offs. But together a handful of measures – covering banks to pensions – could help finance a modest fiscal easing.

In short: some extra spending, some tax rises, a modest increase in borrowing – but not enough to reverse a steep fall in gilt issuance this year. The Debt Management Office expects

to issue £246bn of bonds, down from £304bn in the last fiscal year. Britain is a rare example of an economy going through genuine fiscal tightening right now, a consequence of the ongoing freeze in tax thresholds.

This scenario isn't likely to change our call for the Bank of England to start cutting rates again in 2027.

So far, so boring. So how could Burnham surprise markets this autumn?

Big CapEx, tax reform or fiscal rule changes?

A boring budget doesn't win elections – nor does it square with Burnham's rhetoric about big change. So a much bolder budget clearly can't be ruled out. Uncertainty is high; detail on the new prime minister's budget plans is light.

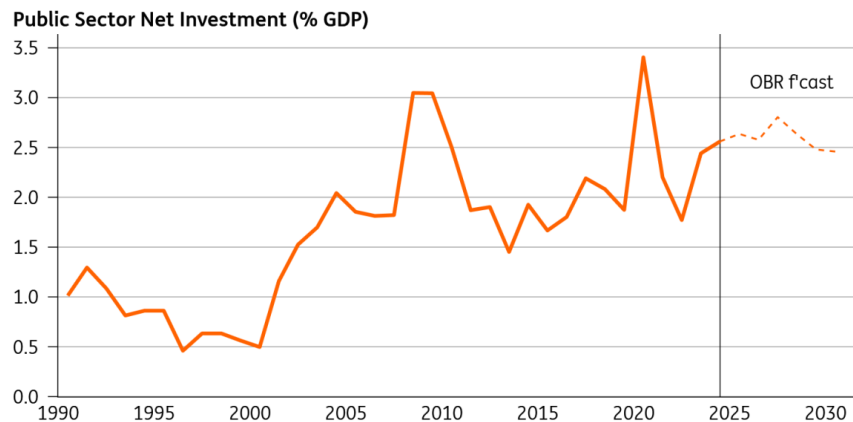
Don't forget that everyone expected Starmer's first budget to be dull. Then it ended up containing the [biggest fiscal stimulus](#) outside the pandemic since 2010.

Similar fireworks could come in five areas:

First, CapEx. Burnham wants to go big on social housing, but that's difficult under a rule dictating that net financial debt must start falling within three years. But the word “financial” is key; investment that involves an equity stake or loan would be treated more favourably, because they create financial assets as well as liabilities.

It's why we're hearing about new regional housing banks to finance social housing, or greater use of the [National Wealth Fund](#) to support infrastructure. Yet while these investment vehicles flatter the fiscal rules, they still usually require some upfront cash and therefore higher issuance – which ultimately is what markets are interested in. Thames Water and the push for greater public control will be an early test of ambition in this area.

Public investment as a share of GDP



Source: Macrobond, Office for Budget Responsibility, ING

Second, welfare reform. This is seen as totemic by many investors, even if the scope for material savings is very limited. Welfare spending accounts for a growing share of government expenditure. But Starmer's efforts to cut disability and pensioner benefits sparked huge backlash. Burnham has given little sign he wants to pick a fight over the Triple Lock, which sees the State Pension rise by the higher of inflation or earnings growth. But a surprise push here might be rewarded in lower gilt yields.

Third, tax reform. Property taxes aren't working – virtually everyone accepts that. And Burnham has indicated reform here will be a key focus. Proposals tend to focus on stamp duty – which is paid by buyers and is seen as a brake on housing transactions – and council tax, which is levied based on a property's value in 1991. This has become a key focus for proponents of a wealth tax.

Yet reform would be hugely contentious. What if you've just bought a house and risk being taxed twice? Revaluing council tax would also create huge winners and losers – but without necessarily raising any fresh cash. A lot of controversy for not much gain under the fiscal rules, with an election slowly coming into sight? It's why most expect efforts here to start with a further expansion of the so-called "mansion tax" being levied from 2028.

Then – fourth – there's tax more broadly. [Reports](#) this weekend hint that Burnham is open to raising the tax-free allowance for workers, a move that wouldn't come cheap. A 10% increase in the allowance, which has been frozen at £12,570 since 2021, would cost £11bn per year according to [Treasury calculations](#).

Much depends on the size of any increase and how it might be funded. Burnham might be drawn to the [Resolution Foundation's](#) proposed "tax switch": a 2ppt cut in National Insurance offset by a 2ppt rise in income tax. Because income tax has a broader base, this would raise about £6bn a year while leaving employee tax bills largely unaffected.

But even if the cost were mitigated, markets still probably wouldn't react kindly. Remember the freeze in tax thresholds is a major driver of lower borrowing this year and projected deficit reductions in the years ahead. Reversing course would cast doubt on the Treasury's commitment to those plans.

It would also shine a light on the combined income tax and National Insurance burden on the average worker, which is among the lowest in Europe according to the OECD. That's despite the UK's overall tax burden being at its highest level in decades.

Without difficult decisions on those major taxes – and set against the cacophony of fiscal challenges coupled with Labour's big ambitions – it's hard to see how the Treasury avoids relying more heavily on borrowing in the years ahead.

Tax rates as a share of labour costs for a worker on an average salary (%)



Source: OECD Taxing Wages 2026

Results based on a single individual without children earning the average wage

That brings us neatly to the final source of surprise: changes to fiscal rules. To us, this looks inevitable over the coming years, even if the widespread assumption is that it won't happen in 2026.

One option involves exempting defence spending or other investment from the fiscal rules entirely. The Treasury might fairly argue that investors would prefer that over borrowing on day-to-day spending. But more borrowing is more borrowing, however you look at it. And

markets would react accordingly.

Remember, investors don't care about the fiscal rules per se; they care about the level of issuance they imply.

But what if the surprise isn't the budget at all?

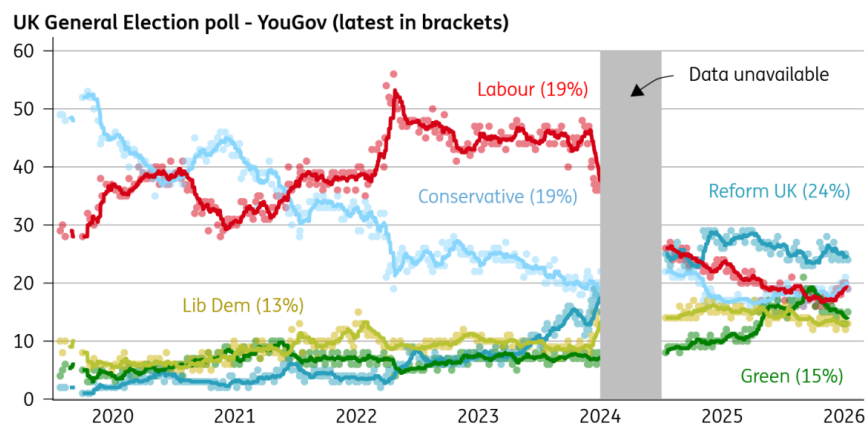
The wildcard: a snap election

A snap election is still the major wildcard. And markets probably wouldn't like it.

On paper, it looks highly unlikely. Why risk losing Labour's enormous 166-seat working majority at a time when the [polls suggest](#) the party would lose almost half its seats if an election were held tomorrow? Betting markets put the chances of a snap election at 15-20%.

Then again, Burnham won more than 50% of the vote in his new constituency of Makerfield a few weeks ago – a seat that would likely otherwise have been claimed by Nigel Farage's Reform UK. If that sentiment spreads into the national polls, then it's easier to see how Burnham might be tempted. Particularly when history tells us a new leader's popularity rarely goes up and usually goes down over time.

Reform lead the UK's opinion polls



Source: YouGov

It would fit a recent tendency of prime ministers to seek their own mandate. We saw it with Theresa May in 2017 and Boris Johnson in 2019. Yes, there are differences today (Johnson benefited from Brexit fatigue and Farage's then-Brexit Party standing aside at the election). But Burnham's team might also conclude his policy platform is only possible with a full five-year term to throw at it. It would almost certainly come at the cost of a smaller majority. But then we've seen with both Starmer and Johnson that huge landslides are no guarantee of eternal power within one's own party.

None of this comes without significant risk. May lost the Conservatives their majority in 2017 despite entering the campaign in a strong position in the polls. That's why an election is not our base case.

But the probability is perhaps higher than the betting odds imply. And a snap election probably wouldn't be received well by investors – assuming it could imply bolder borrowing plans if Labour resecured a majority, and policy paralysis if it didn't.

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Article | 24 July 2026

CZECH REPUBLIC

Czech consumer and business sentiment resilient in July

Consumer sentiment softened in July yet remained above its long-term average. Business sentiment hovered around average values despite a marginal uptick. Both indices remain resilient while still below levels associated with better economic times. The mood in industry is not great, with Europe's manufacturing stuck between a rock and a hard place



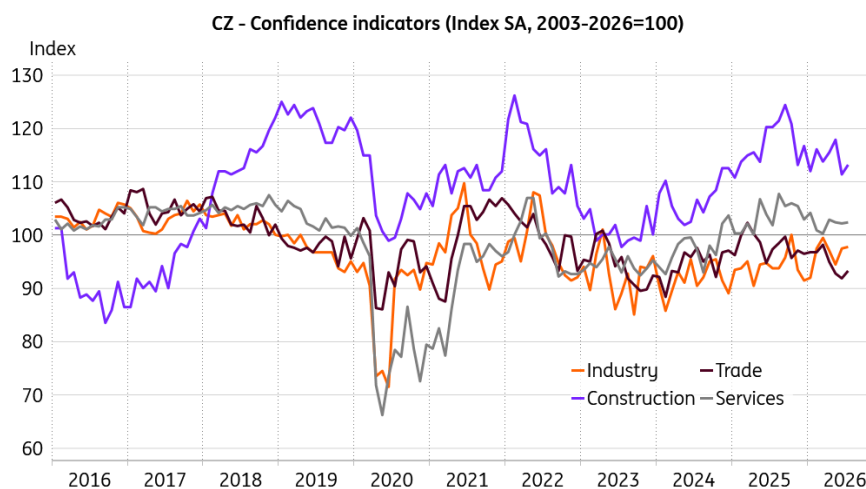
Czech consumer confidence inched down while business sentiment rose in July

Construction and services vs. industry and trade

Czech consumer confidence indicator fell 0.9 points to 105.6 in July, while the business confidence indicator recorded a slight gain of 0.4 points to 100.2. The composite confidence indicator increased marginally to 101.1 in July. Both the consumer and the entrepreneur show quite a decent degree of resilience given the negative supply shock to the global economy as a result of geopolitical turmoil. That's good news, yet both confidence indicators remain well below their levels seen during periods of strong economic growth, such as in 2018. Consumer sentiment came in below market expectations, while July's business mood was slightly better than foreseen.

Confidence among entrepreneurs picked up across sectors, by 1.8 points in construction, 1.4 points in trade, 0.3 points in industry and slightly in services. We see an obvious dichotomy in the economy, with confidence indicators for construction and services floating above their long-term averages, while those for industry and trade are persistently unable to break the long-term average ceiling. The slip in the consumer mood was underlined by future expectations. The share of consumers expecting a deterioration in the economic situation over the next year picked up, while the share of households expecting an improvement in their financial situation over the next year dropped.

Industry and trade unable to break through



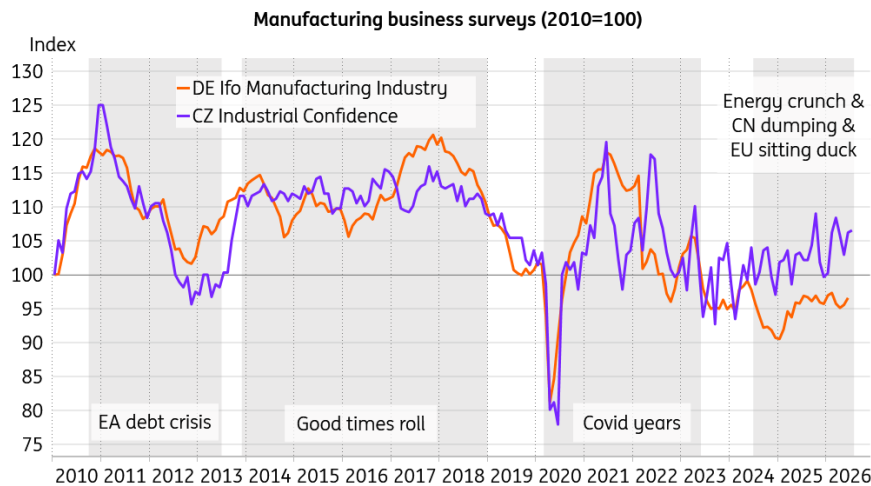
Source: Macrobond

We are particularly concerned about the outlook for European and Czech industry. Manufacturers find themselves caught between a rock of persistently high energy prices and a hard place of rising Chinese import competition. Together, these forces create a toxic cocktail, which may have serious and long-lasting consequences for European manufacturing, economic performance, living standards and social cohesion. Yet Europe is not responding, as measures such as the emissions trading system and the dense regulatory spider web remain largely untouched.

Those who cannot adapt will perish

The thing is that when profitability gets squeezed from all sides for too long, there won't be enough resources left to secure decent wage growth and feed innovation. And yes, when the outlook turns bleak enough and hopes for a turnaround fade, the experienced and innovative workers will start to leave. At this stage, the economy reaches a point of no return and risks losing its place among the ranks of highly developed and innovative nations.

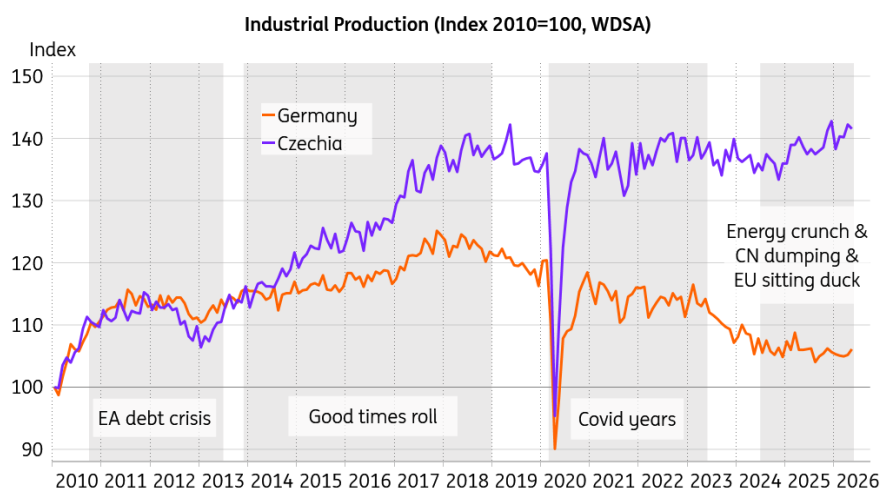
Good times in industry are long gone



Source: Macrobond

Nevertheless, European political leaders seem to be mentally stuck in a world where mutual interdependence is always a good thing, and everyone is a friend at a splendid pool party. There is only one problem: such a world no longer exists; it disappeared into oblivion some eight years ago. Perhaps one could argue that such a world never even existed when viewed through the lens of long-term economic and geopolitical competition. Indeed, Europe is now reaping the bitter harvest of poor strategic decisions, self-centredness, and naivety. The question is whether the EU economy can prosper only under the assumptions of Fukuyama's 'End of History'— a world of ever-deeper integration and diminishing geopolitical tensions – or whether it can adapt to an era in which geopolitics has come roaring back.

Industrial output has rough time since 2019



Source: Macrobond

So far, I am impressed neither by Europe's ability to adapt to the changing environment nor by its willingness to safeguard its economic and social prosperity. Unless policymakers address the pressing structural challenges, any recovery in manufacturing is likely to prove little more than a dead-cat bounce. And yes, the prices of today's cheap Chinese imports will eventually rise once Europe's industrial base has been hollowed out, though carrying European-sounding names, if lucky.

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Article | 24 July 2026

FX

FX Daily: Summer complacency questioned

Energy price rises and the likely central bank response have triggered increased volatility across the bond, equity and FX space. This has led to some pressure on popular summer carry trades and refocused attention on energy-exporting currencies backed by central banks ready to tighten. Expectations of Fed tightening will keep the dollar bid



Energy price increases and a bond market sell-off favour the dollar

↑ USD: It's all about the Fed

The dollar continues to perform well as high energy prices raise expectations for a central bank response. President of the ECB, Christine Lagarde, made it [pretty clear yesterday](#) that the central bank would be hiking in September, and markets now price a further 75bp of tightening for both the ECB and the Bank of England. That seems excessive, but is hard to fight unless energy prices turn sharply lower soon.

Crucially – and after the June FOMC meeting – the market believes the Federal Reserve will have to respond as well. Since that June FOMC meeting, two-year real USD swap rates have risen 30bp as investors buy into the only message we have heard from the Fed – the need to restore credibility when it comes to fighting inflation. While we do not think the Fed will hike next week, it remains very dangerous to fight this trend and, as we have been saying all week, we expect the dollar to outperform.

US data today is relatively light – just July S&P PMI readings and new home sales. But with US President Donald Trump threatening a fresh military onslaught on Iran, expect investors to hold onto their long dollar balances into the weekend. DXY is not far from June's 101.80 high and an upside break-out cannot be ruled out.

Chris Turner

📉 EUR: Real rate spreads moving against EUR/USD

A hawkish hold from the ECB provided little support to the euro yesterday. The reasons for that appear to be high energy prices weighing on European growth prospects and, more importantly, a larger adjustment in real rates in the US than in the eurozone. Here, two-year real EUR/USD swap differentials have widened out to levels last seen in late 2024 when EUR/USD was trading under 1.10. We do not think EUR/USD needs to trade down to those levels now, but as long as energy prices continue to fire up Fed tightening expectations, we think the pair should be pressing the low 1.13s.

For today, the eurozone data focus will be the July flash PMIs and also the WAVE inflation survey. These should confirm the ECB's risk assessment of downside risks to growth and upside risks to inflation.

Chris Turner

➡ CEE: Hawkish repricing should stabilize FX

The CEE region was hit hard yesterday by the global rise in oil and gas prices, triggering a sharp repricing of implied policy-rate paths. In Poland and the Czech Republic, markets effectively added one extra hike, taking implied tightening to 90bp in the Czech Republic and 70bp in Poland. In Hungary, markets priced out roughly half a cut, leaving only two cuts implied. This brings pricing back to or even above the stressed March-April peaks.

Our economists are keeping their forecasts unchanged for now: no rate change in Poland or the Czech Republic, and continued cuts in Hungary to 5.00% by year-end. The move appears to reflect stop-losses on earlier receiver positions and a broader positioning reversal. Given the scale of the oil and gas price increase and strong relationship with front-end rates these days, hawkish repricing could continue today unless the geopolitical backdrop improves.

On the positive side, higher market rates offer some protection for CEE FX, which has been under pressure in recent days. Based on rate differentials in our models, fair-value levels are around 4.290-4.300 for EUR/PLN and 24.100-24.150 for EUR/CZK. A stronger US dollar and risk-off sentiment will likely limit CEE FX upside in the current environment, but higher rates should at least help stabilise regional currencies.

Frantisek Taborsky

➔ KRW: The mighty won

[Earlier this month](#), we highlighted that the Korean won might be due some outperformance, especially against the Japanese yen. KRW/JPY has since rallied 3.5%, largely due to a surge in the won. That move could be attributed to some short-term factors such as reports of Hynix repatriating some of its \$16bn American Depositary Receipt listing back to Korea. But there is also some macro support for the move, where earlier this week Korea reported impressive growth of 0.6% quarter-on-quarter in the second quarter. Following that and a hawkish rate hike to 2.75% from the Bank of Korea last week, investors have added an extra 50bp to their expected BoK tightening cycle this month.

It is probably a little too early to conclude that we have seen a sea change in the USD/KRW trend. Yet it does raise some questions for USD/JPY and whether some better Japanese activity data, particularly the second quarter GDP release in mid-August, can provide a tailwind to reports that the Bank of Japan might be considering a faster pace to its tightening cycle.

The implications here are that even though the energy/Fed story could drive USD/JPY briefly towards the 165 area next week, gains may well prove limited and something of a reversal could be seen through August.

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Article | 24 July 2026

RATES SPARK

Rates Spark: Oil drives rates more than ECB speak

No move from the ECB as expected, but [a September hike](#) remains almost fully priced in. Oil is still the prime driver of euro rates, although the impact is now more muted at the long end of the curve. Markets continue to price in more second-round inflation effects as oil prices remain elevated



Oil prices remain the main driver of euro rates, especially the front end

Front end fully driven by oil, long end less so

[Yesterday's ECB meeting](#) made clear that oil is in the driving seat. Intraday prices did little to suggest that there was a monetary policy meeting at all on Thursday. The challenge for both the ECB and markets is predicting second-round inflation risks. Markets are still seeing the risk of second-round effects growing as oil prices remain elevated, and until we have better data on underlying price pressures, uncertainty will linger. For that reason, markets are likely to stick to their script and closely follow oil prices.

Meanwhile, oil is testing above \$100 per barrel again, pushing up the front end, but longer rates are not following through as quickly. If we isolate the long term by looking at 5Y5Y forwards in euro swaps, we see very little movement over the last few trading days. In effect, that means that 10Y rates may find more resistance to move higher from here. This is in contrast to 2Y rates, which remain highly sensitive to any moves. For every \$10 increase in Brent, we see the 2Y euro swap rise by some 15bp.

Friday's events and market view

The highlight in terms of data will be eurozone PMI figures. Consensus sees the eurozone composite index increasing from 50.0 to 50.2, which would suggest a gradual recovery. A small uptick is also pencilled in for the US PMI numbers.

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Article | 23 July 2026

RATES SPARK

Rates Spark: ECB ready to hike, just not today

The ECB should keep the policy rate at 2.25%, but we do see a September hike as likely, especially as oil prices are moving higher again. One could argue for a front-loaded hike today, but over previous years the ECB has always fully telegraphed any policy moves in advance. And with no hikes priced in by markets, deviating from this strategy seems unlikely



We expect the European Central Bank to keep the deposit rate at 2.25% today but see a September rate hike as likely

Well-anchored inflation expectations give ECB time to act

Despite another stretch higher in oil prices, markets are sticking to the view that the [European Central Bank will hold](#) the deposit rate at 2.25% at this meeting, in line with our own thinking. September is more likely to see a hike, and indeed markets are pricing in 23bp then. One could argue that front-loading another hike now makes sense. Over the past few years, however, the ECB has not acted without fully telegraphing a move in the weeks before the meeting.

With longer-term inflation expectations still well-anchored, the ECB can hold rates steady for

now. The 10Y inflation swap rose on the back of higher oil prices, but at 2.2% is still close to target. Over the past months, the central bank has communicated a hawkish stance and avoided the word “transitory” at all costs. As a result, markets are now positioned for almost three hikes over the next year. While we think this looks stretched, taking a dovish position would quickly be wiped out by more oil volatility. As such, we don’t suggest pushing against current pricing.

We cannot fully discount the tail risk of an early 25bp hike. The question is whether markets would interpret this as a hawkish policy turn or whether the move would be perceived as front-loading September’s move. We think the latter. Not enough inflation data is available to argue in favour of more near-term tightening. And given markets are already positioned very hawkish, we don’t see much room to stretch that further. As such, the upside risk to rates seems limited.

Thursday’s events and market view

The ECB’s monetary policy meeting will be the main event. In terms of data, we will get eurozone consumer confidence numbers for July, but consensus sees no improvement from still low levels. The most notable data from the US are jobless claims.

In terms of supply, the UK will hold a tender of a 37Y gilt for £0.5bn. The US will auction a new 10Y TIPS totalling \$21bn.

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